

INTELLECTUAL PROPERTY LICENSE AGREEMENT

HST AI Architecture with Closed IF Set

Effective Date: This Agreement shall come into force only when both of the following conditions are met: (i) both Parties have signed this document, and (ii) each Party holds a copy of this Agreement bearing the original or qualified electronic signatures of both Parties. The Effective Date shall be the date on which both conditions are satisfied. Until each Party is in possession of a fully executed copy signed by both Parties, this Agreement has no legal effect and creates no rights or obligations for either Party.

PARTIES

Licensor: Miloš M. Ilić Nikole Tesle 12/6 19250 Majdanpek Republic of Serbia JMBG: 2904989752921 ("Licensor" / "Inventor")

Licensee: [Full Legal Name] [Entity Type] organized under the laws of [Jurisdiction] [Principal Place of Business] ("Licensee")

Licensor and Licensee may be referred to individually as a "Party" and collectively as the "Parties."

RECITALS

WHEREAS, Licensor is the sole creator and original inventor of the HST AI Architecture and its associated Closed IF Set, comprising the software versions and implementations described herein;

WHEREAS, Licensee desires to use, develop, and commercialize products and services based on the Licensed IP;

WHEREAS, the Parties wish to establish a clear framework for commercialization that fully protects the Licensor from any financial risk or liability while ensuring fair compensation to the Inventor;

NOW, THEREFORE, in consideration of the mutual covenants contained herein, the Parties agree as follows:

PART I — DEFINITIONS

1. Definitions

HST AI Architecture: The complete artificial intelligence architecture system invented and authored solely by Licensor, encompassing all design patterns, conceptual frameworks, algorithmic logic, structural hierarchies, and operational methodologies embodied in the Licensed Versions.

Closed IF Set: The proprietary closed inference/instruction framework set developed by Licensor as a core component of the HST AI Architecture, including all associated logic gates, decision trees, inference rules, and conditional processing structures as found in the Licensed Versions.

Licensed IP: The HST AI Architecture and Closed IF Set as expressed in the following specific software versions authored by Licensor (the "Licensed Versions"):

- hst.v3.py
- hst.v4.py / hst_v4.1.py
- hst.v5.py
- hst.v6.py / hst.v6.1.py
- hst.v7.1.py / hst.v7.1.2.py / hst.v7.2.py
- hst.v8.py / hst.v8.1.py / hst.v8.2.py
- hst_v8_closedif_core.py
- hst.cl.py
- hst.en.py

Gross Revenue: The total monetary value of all revenues, fees, payments, proceeds, royalties, sublicensing income, service fees, subscription income, or any other consideration received by Licensee, directly or indirectly, from any product, service, system, platform, or application that incorporates, is derived from, or is enabled by the Licensed IP, before any deductions whatsoever.

Inventor Royalty: Two and one-half percent (2.5%) of Gross Revenue, payable to Licensor as set forth herein.

Improvements: Any enhancements, modifications, derivatives, extensions, or innovations built upon the Licensed IP developed by Licensee during the term of this Agreement.

Effective Date: The date on which this Agreement becomes fully binding, which requires that: (i) both the Licensor and the Licensee have signed this Agreement, and (ii) each Party is in possession of a copy of this Agreement bearing the signatures of both Parties. This Agreement is void, unenforceable, and creates no rights or obligations of any kind unless and until both Parties hold a fully executed copy signed by both. A copy bearing only one signature is of no legal effect.

PART II — LICENSE GRANT

2. Grant of License

2.1 Subject to the terms and conditions of this Agreement, Licensor grants Licensee a non-exclusive, non-transferable, worldwide license to use, implement, deploy, and build upon the Licensed IP for the purposes of developing and commercializing AI-based products and services.

2.2 Licensee may not sublicense the Licensed IP to any third party without prior written consent of Licensor.

2.3 Licensee may not claim authorship, inventorship, or original ownership of the HST AI Architecture, the Closed IF Set, or any of the Licensed Versions.

2.4 All rights not expressly granted herein are reserved exclusively by Licensor.

3. Ownership

3.1 Licensor retains sole, exclusive, and perpetual ownership of the Licensed IP, including all Licensed Versions and the Closed IF Set.

3.2 This Agreement conveys a license only. No title, ownership interest, or intellectual property rights in the Licensed IP are transferred to Licensee under any circumstances.

3.3 Licensee acknowledges that the HST AI Architecture and Closed IF Set represent the original, independent creative and technical work of Licensor.

4. Improvements

4.1 Licensee owns any Improvements it independently develops. However, Licensee grants Licensor a perpetual, irrevocable, royalty-free, worldwide, non-exclusive license to use, practice, and sublicense all such Improvements.

4.2 Licensee shall not file patent applications or claims that encompass or overlap with the core architecture, structural logic, or Closed IF Set of the Licensed IP.

PART III — INVENTOR ROYALTY

5. Royalty Obligation

5.1 Commencing upon first commercial use, deployment, or revenue generation from any product or service incorporating the Licensed IP, Licensee shall pay to Licensor an Inventor Royalty equal to **two and one-half percent (2.5%) of all Gross Revenue**.

5.2 This royalty applies to all Gross Revenue without exception, deduction, offset, or adjustment of any kind. No costs, expenses, taxes, refunds, chargebacks, or other deductions may reduce the royalty base.

5.3 The royalty obligation applies regardless of the form of revenue — including but not limited to: software licensing fees, SaaS subscriptions, API access fees, consulting or integration fees, revenue-sharing arrangements, sale of systems or hardware incorporating the Licensed IP, and any other monetization method.

6. Payment Terms

6.1 Royalty payments shall be made quarterly, within thirty (30) days following the end of each calendar quarter (March 31, June 30, September 30, December 31).

6.2 Each payment shall be accompanied by a certified revenue report prepared by a qualified officer of Licensee, detailing all revenue streams and the royalty calculation.

6.3 All payments shall be made in Euros (EUR) or such other currency as Licensor may designate in writing, via wire transfer to the bank account designated by Licensor.

6.4 Late payments shall accrue interest at the rate of 1.5% per month (or the maximum rate permitted by law, whichever is lower) from the due date until paid in full.

7. Audit Rights

7.1 Licensor may, upon thirty (30) days written notice, appoint an independent auditor to inspect and verify Licensee's revenue records and royalty calculations once per calendar year.

7.2 Licensee shall maintain complete and accurate revenue records for a minimum of five (5) years and shall provide full access to such records upon request.

7.3 All audit costs shall be borne by Licensee.

7.4 If an audit reveals underpayment exceeding five percent (5%) of the amount due, Licensee shall pay the full deficiency, a penalty of ten percent (10%) of the underpaid amount, and all audit costs, within thirty (30) days of the audit report.

PART IV — LICENSOR PROTECTIONS

8. Absolute Limitation of Licensor Liability

8.1 LICENSOR SHALL BEAR ABSOLUTELY NO FINANCIAL RESPONSIBILITY, LIABILITY, RISK, OBLIGATION, OR EXPOSURE OF ANY KIND WHATSOEVER IN CONNECTION WITH THIS AGREEMENT, THE LICENSED IP, OR LICENSEE'S USE THEREOF.

8.2 Without limiting the foregoing, Licensor shall have zero liability for: direct damages, indirect damages, incidental damages, consequential damages, special damages, punitive damages, lost profits, lost revenue, loss of data, business interruption, system failure, regulatory penalties, third-party claims, product liability, personal injury, property damage, or any other claim of any nature, whether arising in contract, tort, statute, or otherwise.

8.3 THE LICENSED IP IS PROVIDED STRICTLY "AS IS." Licensor makes no representation or warranty of any kind, express or implied, including any warranty of merchantability, fitness for a particular purpose, accuracy, completeness, non-infringement, or that the Licensed IP will operate without error or interruption.

8.4 LICENSEE ASSUMES THE ENTIRE RISK of using, deploying, and commercializing the Licensed IP. Licensor is not responsible for any failure, defect, vulnerability, incompatibility, or outcome resulting from Licensee's use of the Licensed IP.

8.5 Licensor's maximum financial exposure under this Agreement is strictly limited to: (a) providing the license grant as set forth herein; and (b) crediting verified royalty overpayments against future obligations. Licensor shall have no other financial obligation or exposure of any kind under any circumstances.

8.6 Licensee shall indemnify, defend, and hold harmless Licensor and his heirs, successors, and assigns from and against any and all claims, damages, losses, liabilities, costs, and expenses (including reasonable legal fees) arising out of or related to: (i) Licensee's use of the Licensed IP; (ii) Licensee's

products or services; (iii) any third-party claim against Licensor arising from Licensee's activities; or (iv) any breach of this Agreement by Licensee.

9. No Development Obligation

9.1 Licensor has no obligation to provide support, maintenance, updates, documentation, training, or any other services in connection with the Licensed IP unless separately agreed in writing with additional compensation.

9.2 Licensor has no obligation to continue developing the Licensed IP or to release additional versions.

10. Regulatory and Compliance

10.1 Licensee bears sole and exclusive responsibility for ensuring its use of the Licensed IP complies with all applicable laws, regulations, export controls, data protection requirements, and industry standards in all jurisdictions where it operates.

10.2 Licensor has no responsibility for regulatory compliance and shall not be liable for any regulatory action, fine, or penalty directed at Licensee.

PART V — CONFIDENTIALITY

11. Confidentiality

11.1 The source code, architecture details, and technical specifications of the Licensed Versions constitute confidential and proprietary information of Licensor.

11.2 Licensee shall maintain strict confidentiality regarding the technical implementation details of the Licensed IP and shall not disclose such information to third parties without prior written consent of Licensor.

11.3 Confidentiality obligations survive termination of this Agreement for a period of ten (10) years.

PART VI — TERM AND TERMINATION

12. Term

12.1 This Agreement commences on the Effective Date and continues for an initial term of five (5) years.

12.2 The Agreement automatically renews for successive one-year periods unless either Party provides written notice of non-renewal at least sixty (60) days before expiration.

13. Termination

13.1 Licensor may terminate this Agreement immediately upon written notice if Licensee: (a) fails to pay any royalty amount when due and does not cure such failure within fifteen (15) days of notice; (b) materially breaches any provision of this Agreement; (c) challenges or disputes Licensor's ownership of the Licensed IP; (d) files for bankruptcy or insolvency; or (e) attempts to sublicense, transfer, or assign rights in the Licensed IP without consent.

13.2 Upon termination: all licenses granted to Licensee immediately cease; Licensee must immediately stop all use of the Licensed IP; all accrued royalty obligations survive and remain due; and all license grants from Licensee to Licensor survive permanently.

PART VII — DISPUTE RESOLUTION

14. Dispute Resolution

14.1 The Parties shall first attempt good-faith negotiation to resolve any dispute within thirty (30) days of written notice.

14.2 If unresolved, disputes shall be submitted to binding arbitration under the rules of the International Chamber of Commerce (ICC), with seat in Belgrade, Republic of Serbia, conducted in English.

14.3 All arbitration costs, mediator fees, and legal expenses shall be borne exclusively by Licensee.

14.4 This Agreement is governed by the laws of the Republic of Serbia.

PART VIII — GENERAL PROVISIONS

15. General

15.1 This Agreement constitutes the entire agreement between the Parties with respect to the Licensed IP and supersedes all prior agreements and understandings.

15.2 This Agreement may only be amended by a written instrument signed by both Parties.

15.3 Neither Party may assign this Agreement without prior written consent of the other Party, except Licensor may assign royalty rights to heirs or designees without consent.

15.4 If any provision is held invalid, the remaining provisions continue in full force and effect.

15.5 The Parties are independent contractors. Nothing herein creates a partnership, joint venture, or employment relationship.

15.6 This Agreement is executed in English. Any translation is for convenience only; the English version controls.

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have executed this Intellectual Property License Agreement as of the Effective Date.

LICENSOR / INVENTOR:

Miloš M. Ilić

Signature: _____

МИЛОШ ИЛИЋ
013962700 Sign



Signed by: МИЛОШ ИЛИЋ 013962700

Sign

Date: 2026-02-24 16:02:28 CET

Date: _____

LICENSEE:

Full Legal Name: _____

By (Authorized Signatory): _____

Name: _____

Title: _____

Date: _____

This agreement covers exclusively the HST AI Architecture with Closed IF Set as embodied in the Licensed Versions listed in Section 1. Any use of these versions or derivative works thereof without a valid executed copy of this Agreement constitutes infringement of Licensor's intellectual property rights.